

Executive Summary

❖ Objective

The analysis identifies key factors influencing customer churn, with a primary focus on **contract type, payment method, tenure, service type, and demographics**, to support data-driven retention strategies.

❖ Key Findings

1. Contract Type & Churn

- **Month-to-Month contracts:** ~42% churn rate (highest risk group)
- **One-Year contracts:** ~11% churn rate
- **Two-Year contracts:** ~3% churn rate

Customers on long-term contracts are **nearly 10–14 times less likely** to churn compared to month-to-month customers.

2. Payment Method & Churn

- **Electronic Check:** ~45% churn rate (highest)
- **Credit Card / Bank Transfer / Mailed Check:** ~15–18% churn rate

Customers using electronic checks churn at **almost 3× higher rate** than other payment methods.

3. Tenure & Churn Trend

- **< 1 year tenure:** ~50% churn rate
- **1–3 years:** ~35% churn rate
- **3 years:** ~15% churn rate

Churn probability decreases significantly as tenure increases. The **first year is the most critical retention period**.

4. Internet Service Type

- **Fiber Optic users:** ~30% churn rate
- **DSL users:** ~20% churn rate

Fiber customers show higher dissatisfaction or competitive switching behavior.

5. Senior Citizens

- **Senior Citizens:** ~41% churn rate
- **Non-Seniors:** ~26% churn rate

Seniors churn **15% more** than non-senior customers.

❖ Overall Pattern

- High churn is concentrated among:
 - Month-to-month customers
 - Electronic check users
 - Customers with <1 year tenure
 - Senior citizens
 - Fiber optic subscribers
- Churn consistently declines with **longer commitment and longer tenure**.

Recommendations

1. Promote Long-Term Contracts

Offer discounts or loyalty rewards for annual/bi-annual subscriptions.

2. Encourage Secure Payment Methods

Provide incentives for switching from electronic checks to auto-pay or credit cards.

3. Strengthen First-Year Engagement

- Onboarding programs
- Early feedback surveys
- Loyalty benefits within first 6 months

4. Targeted Retention for Seniors

- Dedicated support lines
- Simpler billing explanations
- Personalized assistance

5. Improve Fiber Service Experience

- Investigate service quality issues
- Provide competitive upgrade offers

Conclusion

Customer churn is primarily driven by **contract flexibility, payment behavior, and early-stage dissatisfaction**. Focusing retention efforts on **high-risk segments (42–50% churn groups)** can significantly reduce overall churn and improve long-term revenue stability.